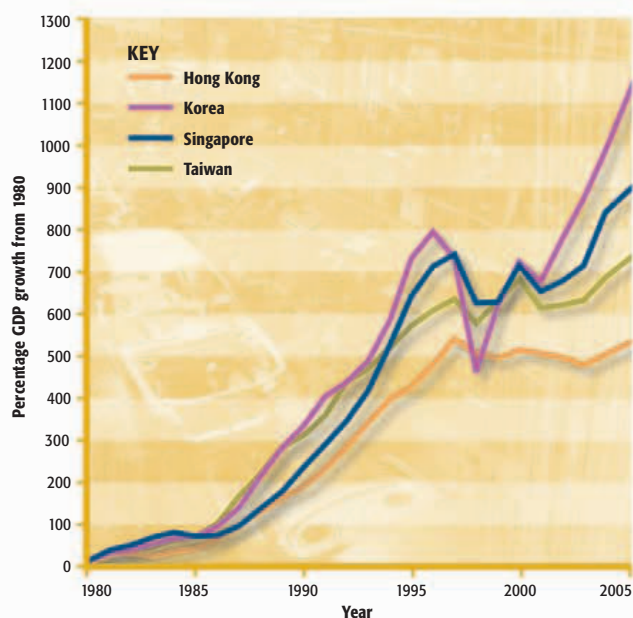




Rise of the tiger economies

The tiger economies grew rapidly from the 1980s but all suffered a drop after the Asian financial crisis of the late 1990s, as shown by the GDP growth charted left. All made a quick recovery, particularly Korea.

growth of such speed that it earned them the nickname "tiger." The Asian tigers are among the only former territories of colonial empire to

economy now ranks second only to that of the US. This transformation has been called miraculous, but was in fact the result of efficient government control of finance. Industries were systematically targeted for development, government loans made available to fledgling companies, and competition from foreign imports restricted. For many years postwar, economic growth was an absolute priority and expenditure in other areas, such as housing, was severely restricted. However, successive governments did prioritize education and Japan's skilled workforce has contributed to the success and technical excellence of Japanese products.

have substantially closed their income gap with established industrialized nations. A range of measures, including the creation of government banks, subsidized credit for industry, and incentives for foreign investors, fostered export-driven markets, where the marriage of foreign technology with cheap labor produced goods at reduced cost.

The tiger economies' dependence on exports makes them reliant on the behavior of the economies they supply. In 1997, the Asian financial crisis occurred when foreign investors withdrew funds from Thailand. The crisis deepened when investors panicked, thinking that if one country's economy was failing, then others must be affected, and rushed to dump Asian assets. Within months the crisis spread across the entire region.

Within a few years the markets rallied and fears of a long recession faded.

The economic rise of South Korea began with an emphasis on light



Singapore Harbor

Cranes and cargo ships line Singapore City's bustling industrial waterfront. In the background stand the towers of the city's business district.

industry in the early years of growth, and shifted toward car manufacture and consumer electronics in the 1970s. The Asian financial crisis caused the collapse of South Korea's major car manufacturer KIA Motors, but assistance from the International Monetary Fund (IMF) and market-orientated reforms restored stability. In 2007, South Korea rose to become the world's ninth-largest economy. However, questions remain about South Korea's long-term prospects. An increasingly educated labor force is rising up against the regime's repressive labor laws. Commentators suggest that liberalizing reforms are needed to ensure continued growth.

In the 1950s, Taiwan, an island off the Chinese mainland, was a largely agricultural economy. From 1962, economic reforms encouraged industrial development and attracted foreign investment. Taiwan received support from the US, which was eager to bolster the regime against the threat of takeover by Communist China. Initially most of Taiwan's output was from labor-intensive industries such as

textiles, but in the 1980s, focus shifted to production of high-tech products. Today Taiwan's economy dominates global production of computers.

After gaining independence from Britain in 1965, Singapore's government adopted an export-oriented policy framework, to

encourage foreign investment. The strategy resulted in growth of 8 percent per year between 1960 and 1997. A skilled workforce and efficient infrastructure have attracted investment from over 7,000 multinational corporations, who account for over two-thirds of manufacturing output and direct export sales. Fields of production include electronics and pharmaceuticals.

Hong Kong was a British colony from 1842 to 1997. After 1950, the territory followed a similar pattern of industrialization, going on to become a market leader in toys and electronic equipment. Since 2005, the growing confidence of the Hong Kong stock exchange has been cementing its status as a financial hub in Southeast Asia.

Second wave

In the late 20th century, the Four Tigers were nearing fully developed economic status. Investment in education and training had created skilled, educated workforces who

INVENTION

BULLET TRAIN

The Japanese *Shinkansen* or Bullet Train was one of the earliest high-speed trains. Services started in 1964, running at speeds of up to 131 mph (210 km/h). Operated by Japan Railways, the trains run between most major Japanese cities, achieving speeds of up to 186 mph (300 km/h). Current research is aimed at reducing the noise of the trains, which create a loud boom on entering tunnels.



required better wages and working conditions, and investors began to turn to other Asian countries—Thailand, Malaysia, and Indonesia—in search of continued profits. During the 1990s, strong export-dependent economies evolved in these nations, securing foreign investment. Thailand and Indonesia were badly affected by the 1997 financial crisis. Since then, both governments have pursued "dual track" economic measures, which prioritize the development of domestic industry, as well as export-oriented production. At present, the new tigers all show rapid growth, and Malaysia seeks to emulate the original tigers by improving education and refocusing the economy toward higher-technology production.

AFTER

The term "tiger" is adopted by other nations with rapid economic growth, but the impact of such growth on workers raises concerns.

LOW-WAGE WORKERS

Asian tiger governments have been accused of running their economies in the sole interests of investors, resulting in low pay for workers. A World Bank report noted that they were "less responsive than other developing economy governments" to having a minimum wage.

ASEAN

Founded in 1967 with five members, the Association of South East Asian Nations has grown to encompass almost all of Southeast Asia, increasingly adopting policies to produce a single market in the region. Rapid economic growth, particularly in Malaysia, Thailand, and Singapore, has allowed enormous strides in development.

Asian tigers

Since the 1960s, South Korea, Taiwan, Singapore, and Hong Kong have achieved economic

Towering success

A symbol of Malaysia's economic miracle, the Petronas Towers in Kuala Lumpur, Malaysia, were designed by the architect Cesar Pelli and built in 1995–98. They are among the world's tallest buildings.

